

## Submission ACCT1-FINAL-SUB01

### Question ACCT1-FINAL-Q01

scratch: show step

1. Dr Cash 328; Cr Service Revenue 328
2. Dr Supplies 446; Cr Accounts Payable 446
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.  
=> FINAL: Dr Cash 328/Cr Revenue 328; Dr Supplies 446/Cr A/P 446; A=L+E remains balanced (check units/interpretation)

### Question ACCT1-FINAL-Q02

scratch: show step

1. Monthly revenue=975/6=162
2. Dr Unearned Revenue 162; Cr Service Revenue 162
3. Remaining liability=812  
=> FINAL: Dr Unearned Revenue 162; Cr Revenue 162; liability=812 (check units/interpretation)

### Question ACCT1-FINAL-Q03

scratch: show step

1. Assets = Liabilities + Equity
2. Equity=1909-630=1279
3. The equation must balance after every recorded transaction.  
=> FINAL: equity=\$1279; assets=liabilities+equity (check units/interpretation)

### Question ACCT1-FINAL-Q04

scratch: show step

1. Current ratio=1190/479=2.48
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.  
=> FINAL: current ratio=2.48; assets exceed liabilities if ratio>1 (check units/interpretation)

### Question ACCT1-FINAL-Q05

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.  
=> FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)

### Question ACCT1-FINAL-Q06

scratch: show step

1. Dr Cash 327; Cr Service Revenue 327
2. Dr Supplies 425; Cr Accounts Payable 425
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.  
=> FINAL: Dr Cash 327/Cr Revenue 327; Dr Supplies 425/Cr A/P 425; A=L+E remains balanced (check units/interpretation)

Question ACCT1-FINAL-Q07

scratch: show step

1. Monthly revenue= $835/3=278$

2. Dr Unearned Revenue 278; Cr Service Revenue 278

3. Remaining liability=557

=> FINAL: Dr Unearned Revenue 278; Cr Revenue 278; liability=557 (check units/interpretation)

Question ACCT1-FINAL-Q08

scratch: show step

1. Assets = Liabilities + Equity

2. Equity= $1672-578=1094$

3. The equation must balance after every recorded transaction.

=> FINAL: equity=\$1094; assets=liabilities+equity (check units/interpretation)

Question ACCT1-FINAL-Q09

scratch: show step

1. Current ratio= $1724/827=2.08$

2. Above 1 means current assets exceed current liabilities, not that all assets are cash.

=> FINAL: current ratio=2.08; assets exceed liabilities if ratio>1 (check units/interpretation)

Question ACCT1-FINAL-Q10

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.

2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.

=> FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)